

Property Development Opportunity Analysis

A Comprehensive Assessment of Underutilized Assets

HDAvisors

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Report Purpose

This analysis, done for the Virginia Episcopal Real Estate Portfolio (VEREP), provides:

- **Strategic Insights:** Identification of high-potential development opportunities amongst their smallest congregations
- **Data-Driven Decisions:** Evidence-based property assessments
- **Geographic Analysis:** Regional distribution and market potential

How to Use This Report

- **Executive Summary:** Quick project overview and key findings
- **Methodology:** Understanding the analytical approach to assessing development potential
- **Analysis Results:** Detailed findings and insights of relevant parcels
- **Summary Statistics:** Portfolio-wide metrics
- **Property Profiles:** Individual property assessments for top identified parcels
- **Appendices:** Technical details and references

Interactive Features

This report includes interactive visualizations and tools. Use the filters and controls to explore the data dynamically.

Navigation

Use the table of contents on the left to navigate between sections, or use the search function to find specific topics.

Executive Summary

This analysis examines properties in the Episcopal Diocese of Virginia with fewer than 30 Sunday attendees, focusing on development potential through key metrics outlined in the analytical framework chapter. This report was done for VEREP (Virginia Episcopal Real Estate Partners) in conjunction with case study projects HDAvisors is facilitating.

At a Glance: Top 10 Parcelss

Table 1: Top 10 Development Opportunities

Rank	Congregation	Address	City
1	St Pauls on the Hill Church	1527 SENSENY RD, WINCHESTER 22602	WINCHESTER
2	St Pauls on the Hill Church	WINCHESTER 22602	WINCHESTER
3	Christ Ascension Church	1704 WEST LABURNUM AVE, RICHMOND 23227	RICHMOND
4	Good Shepherd-of-the-Hills	7420 MISSION HOME RD, FREE UNION 22940	FREE UNION
5	St Johns Church	64 K ST, COLUMBIA 23038	COLUMBIA
6	Grace Church Emmanuel Parish	5096 GRACE CHURCH LN, MIDLAND 22728	MIDLAND
7	Grace Church Emmanuel Parish	5094 GRACE CHURCH LN, MIDLAND 22728	MIDLAND
8	St Georges Church	3392 PINE GROVE RD, STANLEY 22851	STANLEY
9	Aquia Church	STAFFORD 22554	STAFFORD
10	Calvary Episcopal Church	13312 HANOVER COURTHOUSE RD, HANOVER 23069	HANOVER

Key Findings

Summary Overview

100 Parcels Analyzed	64.1 Strong Potential Acres	248 Total Acres Analyzed
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Significant Underutilized Assets

3 Parcels (3.9 acres) Surface Parking Lots	22 Parcels (98.6 acres) Vacant/Open Space	56 Parcels (81.6 acres) Financial Need Congregation Parcels
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This defines “financial need” as:

- Sites with declining congregations
- Sites with declining giving

This is further explained in the methodology section.

Geographic Distribution

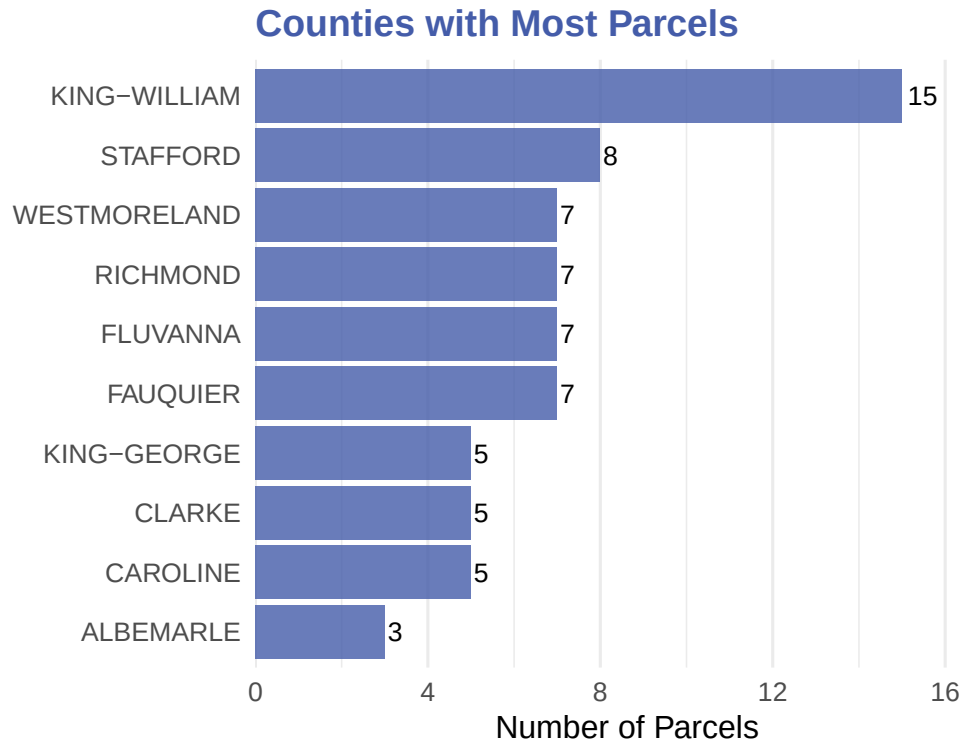


Figure 1: Parcels by County

Development opportunities are distributed across Virginia, with concentrations in:

- Urban/suburban areas with strong walkability scores
- Markets with favorable demographics and LIHTC eligibility
- Transit-accessible locations supporting reduced parking requirements

Congregation Vitality Summary

Metric	Value
Congregations with <30 Sunday Attendance	37
Total Parcels Analyzed	104
Average Parcels per Congregation	2.8
Average Sunday Attendance	17 people
Average Annual Pledge	\$44,271
Congregations in Financial Need	21

Next Steps

1. **Priority Assessment:** Review top-ranked properties for immediate action
2. **Feasibility Studies:** Conduct detailed feasibility analysis for top candidates
3. **Stakeholder Engagement:** Engage relevant stakeholders for high-priority sites
4. **Financial Planning:** Develop funding strategies and timelines

Methodology & Data

Background & Data Sources

VEREP Parcel Dataset

This analysis utilizes the Virginia Episcopal Real Estate Portfolio (VEREP) parcel dataset, compiled by CGS Consultants. The dataset (originally 790 parcels) was further filtered to look at parcels/properties owned by congregations or the diocese and with small congregations (less than 30 regular members). This resulted in data encompassing:

- **104 parcels** across Virginia
- Comprehensive property characteristics (size, use, zoning)
- Environmental constraints (floodplains, wetlands, easements)
- Location metrics (walkability, transit access)
- Market indicators (median income, demographics)

Congregation Statistics (2014-2023)

This analysis also includes congregation statistics from the VEREP GIS webtool. Financial and membership data provides context on congregation health, including:

- Sunday attendance trends
- Membership changes
- Plate & pledge revenue
- 10-year trend analysis

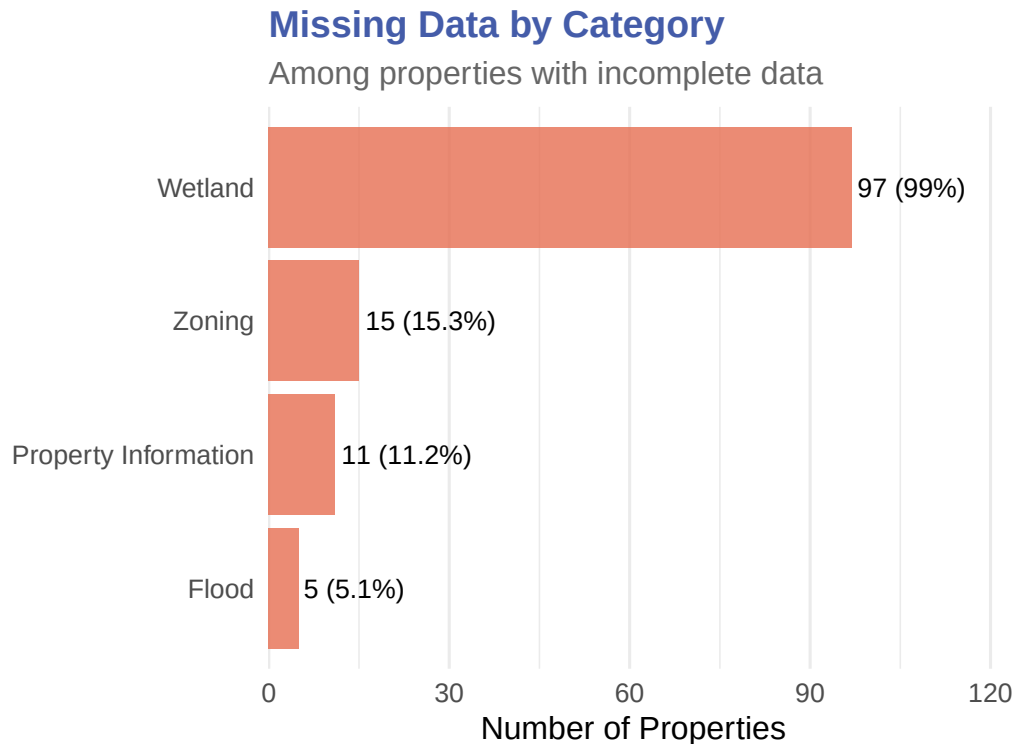
Data Quality Note

Not all properties have associated congregation data. Properties without congregation information received neutral scores in the financial need category.

Data Quality Issues

Of the 104 parcels analyzed, 101 (97.1%) have incomplete data — meaning they are missing at least one of the six key development metrics (land value, acreage, wetland coverage, flood zone, QCT status, or zoning). This high rate reflects broader data quality challenges identified in CGS's initial VEREP study.

While environmental constraint data (wetlands, flood zones) accounts for much of the missing information, 15 properties (14.4%) are missing land value, limiting our ability to assess their financial potential. The breakdown below classifies these data gaps to help prioritize follow-up research. Once these are verified, these properties can be more precisely evaluated for development opportunities.



Addressing Data Gaps Through Enhanced Assessment

In the interim, we attempted to use other data present to fill in these gaps. This process is outlined below.

The QCT Data Challenge

Qualified Census Tract (QCT) designation was originally included because it opens access to Low-Income Housing Tax Credits and other development incentives. However, zero properties in this portfolio qualified as QCTs, rendering this metric inapplicable.

Since the QCT pathway to financial viability was unavailable, we replaced it with median income and five-year household income growth to assess market-based viability instead. Properties in high-income, high-growth areas (scoring 90-95 points) demonstrate strong market fundamentals—resident purchasing power, economic stability, and growth potential—that support financial sustainability without relying on low-income housing incentives. Properties in declining markets score lower (35-40 points).

This approach shifts from measuring eligibility for government funding programs to assessing general market strength, using actual economic conditions at each property location rather than federal designations that proved inapplicable to small, rural congregations.

The Wetland Data Challenge

The most significant data quality issue emerged in environmental constraint assessment: **97% of properties lacked wetland coverage data** from the National Wetlands Inventory. This critical gap meant that relying solely on wetland percentages would fail to identify environmentally constrained properties, potentially overestimating development opportunities across the portfolio.

Rather than impute wetland data or exclude these properties from analysis, we implemented a **multi-faceted constraint assessment framework** using complementary data sources with comprehensive coverage to determine constraints. This includes:

Historic District Designation

We incorporated National Register Historic District boundaries from the Virginia Department of Historic Resources. This revealed that **45% of the 104 properties** are located within historic districts—a finding with significant implications for development feasibility.

Properties in historic districts face additional regulatory requirements including design review processes, material restrictions, and extended approval timelines. Historic designation doesn't prohibit development, but typically adds 15-25% to project costs and 3-6 months to development schedules. These properties receive a **-25 point penalty** in development scoring to reflect added complexity.

FEMA National Risk Index

The FEMA National Risk Index provides comprehensive natural hazard assessment beyond flood zones alone, incorporating risks from hurricanes, tornadoes, severe storms, wildfires, earthquakes, and other hazards. This multi-hazard approach captures the full spectrum of climate and disaster risks that affect development feasibility, construction costs, and insurance requirements.

Among the 104 properties:

- **Very Low or Relatively Low risk:** 79% (minimal concerns)
- **Relatively Moderate risk:** 32% (manageable with standard precautions, -15 point penalty)
- **Relatively High risk:** 12% (significant mitigation required, -40 point penalty)
- **Very High risk:** <1% (likely deal-breaker, -50 point penalty)

Combined Assessment Impact

This enhanced screening framework identified environmental and regulatory constraints affecting **17 properties** (16%) that would have been missed using wetland data alone. The addition of historic district data proved particularly valuable: among the 36 goldilocks opportunities (0.5-5 acres), **16 properties** (44%) carry historic designation, providing crucial context for development planning and timeline expectations.

For the small subset of properties with wetland data available (11%), we retained this information and applied it alongside historic and hazard assessments. Properties with multiple major constraints (e.g., flood zone + high hazard risk, or significant wetlands + flood zone) receive compounded penalties (up to -75 points), reflecting cumulative impacts on development feasibility.

Addressing Missing Property Information

Eleven properties lacked specific street addresses in county parcel records, listed instead as “UNASSIGNED” or missing entirely. To enable spatial analysis and mapping, we employed the Geocodio API to generate approximate coordinates based on available city and county information.

Geocoding Results:

- **Success rate:** 100% (11/11 properties geocoded)
- **Accuracy:** Medium (0.54) representing city-center approximations
- **Location:** All 11 properties geocoded to West Point, King William County
- **Congregations:** Two congregations affected (St. Pauls Church, St. Johns Episcopal Church)

Analysis Impact:

The geocoding process successfully provided coordinates for mapping while revealing that all 11 properties are **small parcels under 0.5 acres**—below the goldilocks development threshold. These properties were appropriately classified as “Small Parcel” regardless of address precision, meaning the city-center coordinate approximations do not affect development opportunity identification. All 104 properties now have sufficient location data for spatial analysis and visualization, with no impact on the integrity of top opportunities rankings.

Remaining Data Needs:

Following wetland data supplementation and geocoding remediation, **15 properties** (14.4%) lacked assessed land values from county records. Rather than excluding these properties or pursuing individual county assessor verification, which would be more reliable but an added task, we applied a conservative estimation method using existing census tract-level housing market data.

Land Value Estimation Method:

Properties without assessed land values were estimated using census tract median home values, assuming land represents approximately 25% of total residential property value in the area. This ratio aligns with typical land-to-improvement value relationships in suburban and rural Virginia markets. The formula applied:

$$\text{Estimated Land Value} = (\text{Census Tract Median Home Value} \times 0.25) \times \text{Property Acreage}$$

This method provides order-of-magnitude values sufficient for preliminary opportunity screening while flagging properties for detailed appraisal before advancing to feasibility analysis. All estimated values are clearly marked in the dataset with the source noted as “Estimated from Area Median” rather than “County Assessor.”

Coverage Achievement:

- Properties with direct assessor land values: 89/104 (85.6%)
- Properties with estimated land values: 15/104 (14.4%)
- Total properties with usable land value data: **104/104 (100%)**

No properties require manual follow-up for land value data, though the 15 estimated values should be verified through formal appraisal during due diligence for any properties advancing to development.

Before and after enhanced assessment

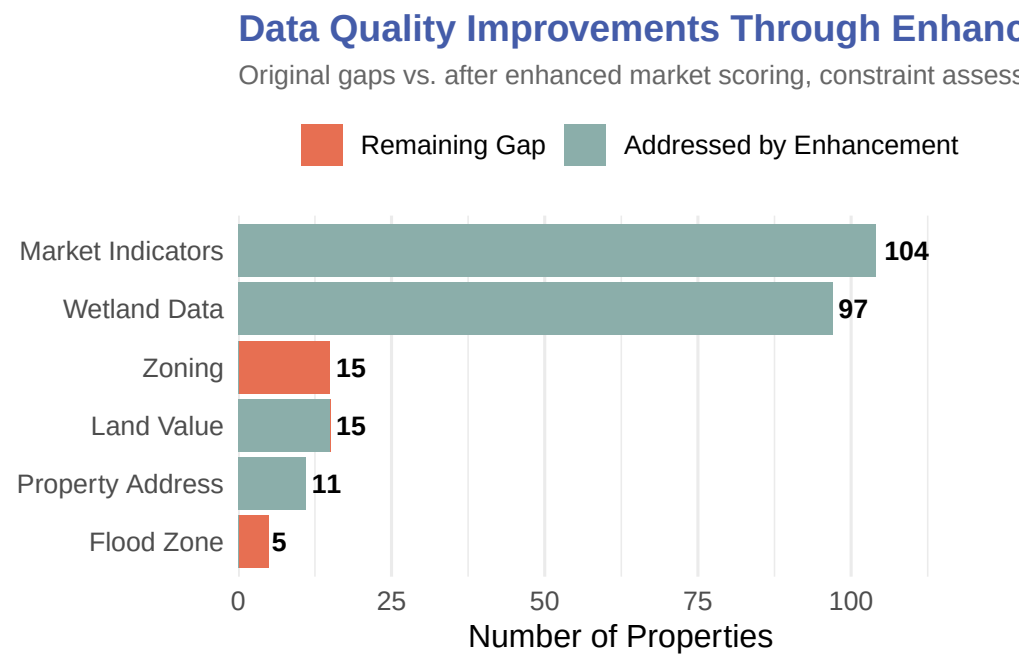


Table 3: Data Enhancement Impact

Data Category	Original Gap	Addressed	Remaining	Enhancement
Market Indicators	104	104	0	Median income + 5-year household income growth forecasts
Wetland Data	97	97	0	Historic districts + FEMA National Risk Index

Land Value	15	15	0	Census tract median home value estimation
Property Address	11	11	0	Geocodio API geocoding

Recommendation

The enhanced constraint assessment framework using historic districts and comprehensive hazard ratings provides robust environmental and regulatory screening despite limited wetland data. Properties identified as opportunities have been vetted against multiple constraint sources, providing confidence in their development potential. Future site-specific due diligence should include wetland delineation for properties advancing to development, particularly for the 89% of parcels without existing wetland assessments.

Data Source Details

The parcel data used for this analysis originates from the Center for Geospatial Solutions (CGS) WHOA parcel ownership dataset, which combines cleaned and standardized parcel data from Regrid, property records from ATTOM, and corporate entity registration data from OpenCorporates into a unified national dataset.

CGS identified parcels of interest to VEREP through a multi-step process: geocoding addresses provided by the Episcopal Diocese of Virginia, cross-referencing owner names and mailing addresses against Virginia parcel records, and applying keyword searches specific to Episcopal-affiliated entities. The methodology included manual verification to remove parcels belonging to other dioceses or denominations (such as the Anglican Church in North America or African Methodist Episcopal Church) and to reconcile 572 stacked parcels into 44 distinct records.

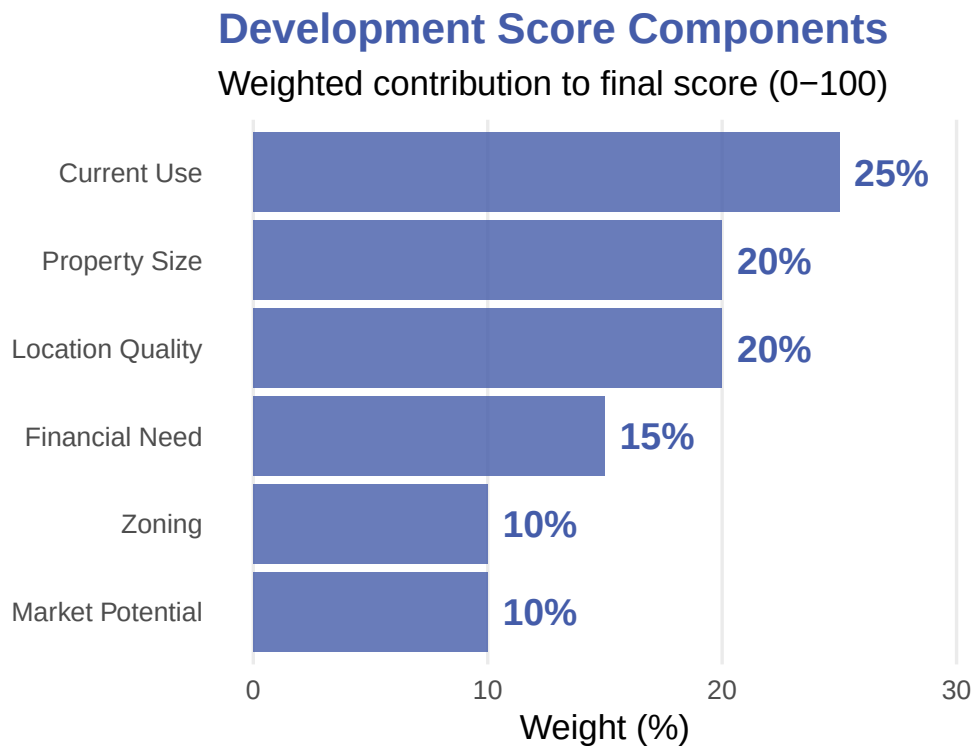
The final CGS dataset, completed in February 2025, contains 798 parcels totaling approximately 3,707 acres with an assessed value exceeding \$1.79 billion. While the majority of this data was not utilized for this particular assessment, similar development analysis could be performed in the future with the complete parcel data.

Analytical Framework

Development Potential Scoring

Our methodology evaluates **seven key criteria** across positive attributes and limiting factors to create a composite development score (0-100):

Six Weighted Components (total: 100%)



Plus Constraint Penalties

Environmental and regulatory factors are applied as score deductions:

- Combined flood zone + significant wetlands (>25%): **-75 points**
- Flood zone OR moderate wetlands (>10%): **-40 points**
- Minor environmental constraints: **-20 points**

Development Classification Systems

Properties are evaluated using two complementary frameworks:

Physical Classification (for opportunity identification):

- **High Priority:** 1.5-5 acres, minimal constraints, documented value
- **Moderate Priority:** 0.5-1.5 acres, minimal constraints
- **Too Large:** >5 acres (may require phased development or specialized partners)
- **Small Parcel:** <0.5 acres (limited development options)
- **Constrained:** Environmental limitations regardless of size

Numerical Score Tiers (for prioritization):

- **Tier 1 (75-100):** High Priority - Immediate development candidates
- **Tier 2 (60-74):** Strong Potential - Near-term opportunities
- **Tier 3 (45-59):** Moderate Potential - Requires creative solutions
- **Tier 4 (30-44):** Limited Potential - Significant barriers exist
- **Tier 5 (<30):** Not Recommended - Unsuitable for development

Why use BOTH?

Consider two hypothetical properties:

St. Michael's Church, Suburbia County - 2.1 acres, no constraints, assessed at \$450K - Congregation: 45 members, stable finances, no urgency to act - Size Classification: **High Priority** (meets all physical criteria) - Development Score: **52** (Tier 3: Moderate Potential)

This property *can* be developed—it passes the physical checklist—but *should* it be prioritized? The congregation isn't financially stressed, the market is lukewarm, and leadership has shown no interest in partnerships. The score reflects this: physically viable, strategically underwhelming.

Grace Memorial Church, Growth County - 1.3 acres, no constraints, assessed at \$380K - Congregation: 12 members, 60% decline in giving, aging building - Size Classification: **Moderate Priority** (just under 1.5 acre threshold) - Development Score: **71** (Tier 2: Strong Potential)

This property narrowly misses the “High Priority” physical threshold, but the score tells a different story: a struggling congregation in a strong market, likely motivated to explore options. The 0.2-acre shortfall matters less than the strategic opportunity.

Using physical classification alone, St. Michael's looks like the better opportunity. Using score alone, Grace Memorial wins. The truth requires both lenses:

- Size classification answers: “*What's physically possible?*”
- Score tiers answer: “*What's strategically worthwhile?*”

The ideal candidates—like your top-ranked properties—excel on both dimensions. But when they diverge, the numerical, tiered score typically better predicts which conversations will be productive and which properties will actually move toward development. While this process can only truly be perfected by those with congregational history and knowledge, this is the assessment's attempt to find the best of both worlds.

The physical classification criteria is discussed in more detail in the next section of this report.

Understanding the Development Criteria

Why These Factors Matter

The development potential score is calculated by weighing each of the seven criteria according to its importance in determining development viability. Our scoring methodology, as outlined in the analytical framework of this report, reflects decades of real estate development experience and incorporates both market realities and mission-aligned priorities. Each criterion was selected to balance financial viability with community impact, ensuring that recommended properties can support sustainable development while serving congregational needs.

Tip

This is just a starting point based on HDA's ideal of easy development for congregations. If VEREP identifies other criteria they would like to weigh differently, or has anecdotal information to add this scoring could be adjusted.

Property Size: The Goldilocks Principle

Weight: 20%

Not too small to be economically viable, not too large to be financially unwieldy.

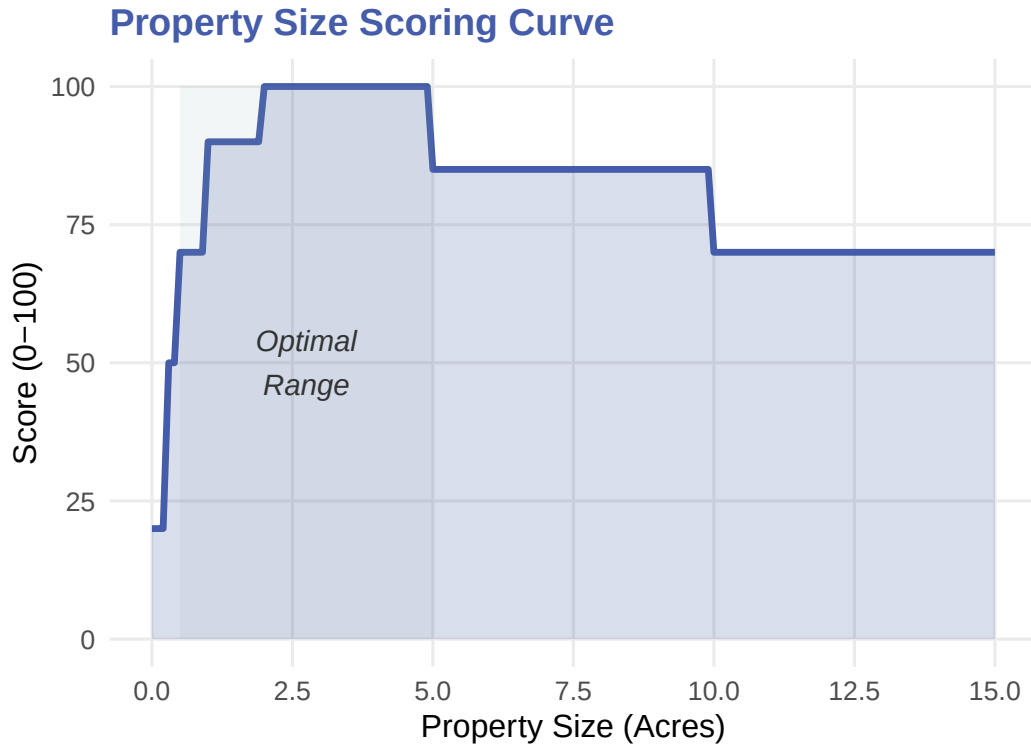


Figure 2: Property Size Scoring Curve

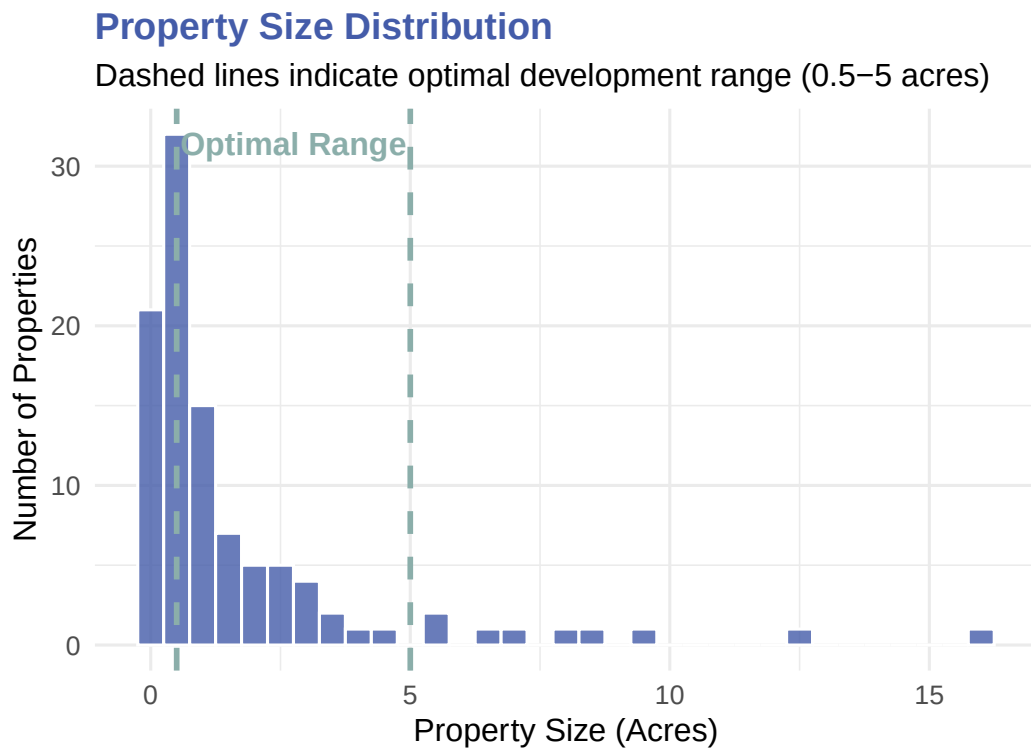


Figure 3: Distribution of Property Sizes in Portfolio

Why This Matters:

- **Too small (<0.5 acres):** Limited development options, high per-unit costs
- **Optimal (0.5-5 acres):** Maximum flexibility and economic efficiency
- **Too large (>10 acres):** Requires significant capital, complex phasing

Property size significantly influences development feasibility, but bigger isn’t always better. Properties under a quarter-acre typically lack the critical mass needed for financially viable development—construction costs per unit rise sharply, and parking or open space requirements become impossible to meet. Conversely, parcels exceeding 10 acres often present unique challenges: they may require complex phasing, demand substantial upfront capital, or face community resistance to density.

Current Use: Identifying Low-Hanging Fruit

Weight: 25%

Properties with minimal current utilization represent immediate opportunities.

Table 4: Current Use Scoring Matrix

Current Use	Score	Rationale
Parking Lot	95	Immediate development potential, minimal displacement
Open Space	90	Low-value use, easy conversion
Mixed/Other	60	Varies by specific circumstances
Residence	40	Displacement considerations
School	35	Active community use
Church (primary)	30	Core mission function
Cemetery	5	Restricted use, not developable

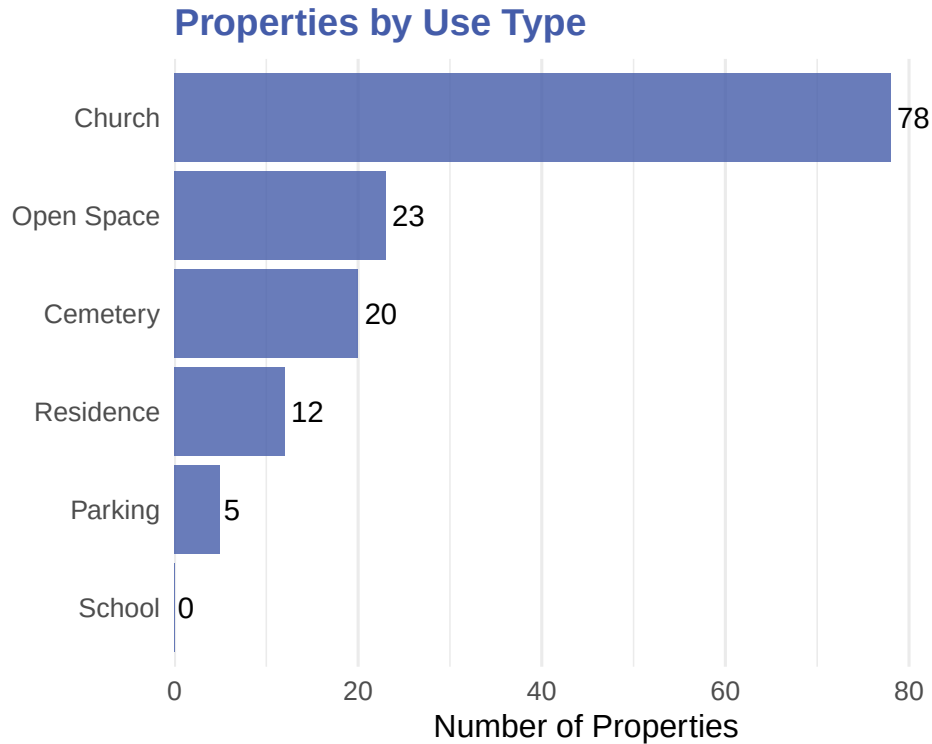


Figure 4: Properties by Current Use Type

Highest Potential: Parking Lots and Open Space

Not all church property serves its highest and best use. Surface parking lots represent prime redevelopment opportunities—they're already cleared and graded, typically have minimal environmental constraints, and often sit underutilized six days per week. A parking lot that serves 200 congregants on Sunday morning but stands empty Monday through Saturday represents an enormous opportunity cost.

Open space scores similarly high, particularly when it's amenity-free lawn rather than programmed recreation or memorial gardens. These properties can be re-imagined while potentially retaining some green space within new development.

Location Quality: Following the Market

Weight: 20%

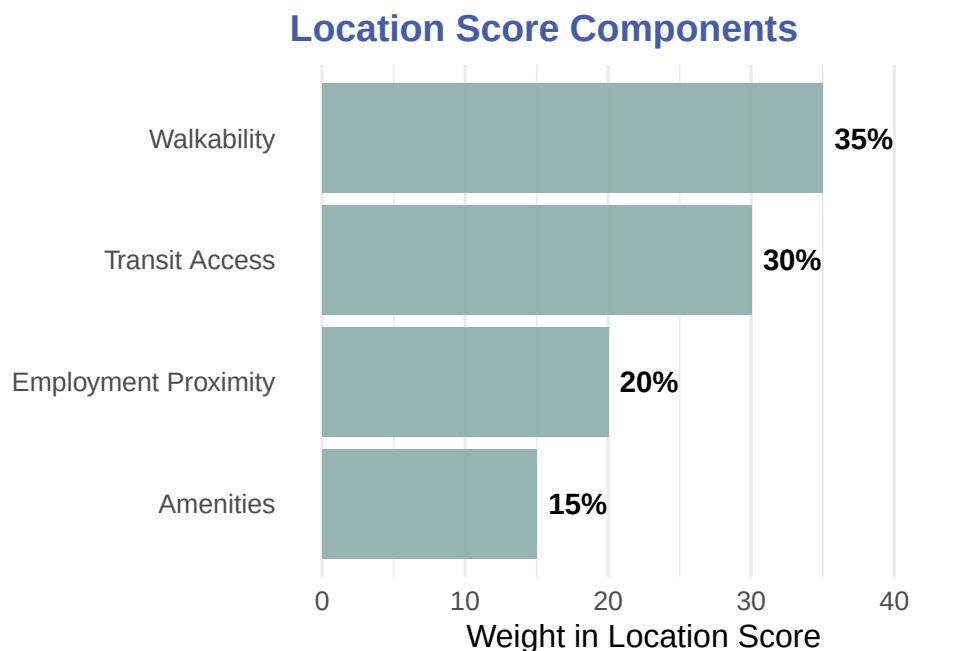


Figure 5: Location Quality Components

Key Metrics: Walkability Score and Transit Access

Real estate development fundamentally responds to location. A walkable, transit-rich site commands higher rents, attracts more diverse tenants, and often qualifies for density bonuses or reduced parking requirements—all factors that improve project economics.

Walkability scores measure proximity to everyday needs: grocery stores, schools, employment centers, health-care. High walkability (15-20 on our scale) indicates a property can support car-light or car-free households, expanding the potential tenant base to include young professionals, seniors aging in place, and lower-income families for whom car ownership is cost-prohibitive.

Transit access amplifies these benefits. Properties within a quarter-mile of frequent bus service or half-mile of rail stations can often negotiate reduced parking requirements with municipalities—a significant cost savings when structured parking runs \$25,000-\$40,000 per space to construct.

Most parcels in the portfolio fall below the high-walkability range, but a number showed promise in this category.

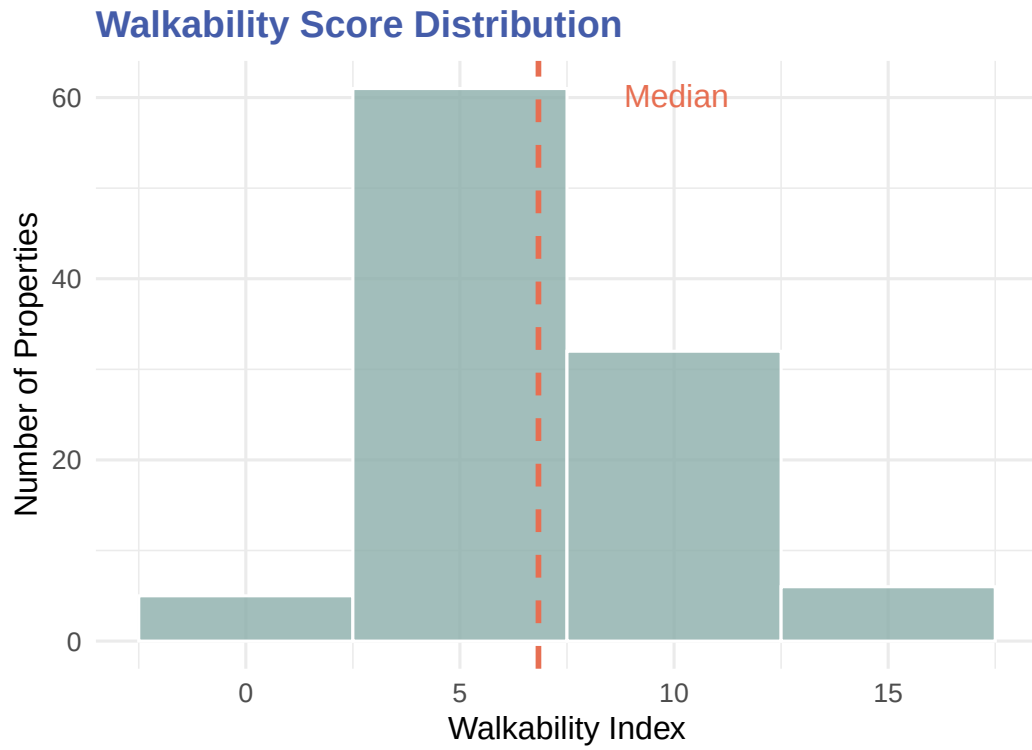


Figure 6: Distribution of Walkability Scores

Financial Need: Aligning Development with Mission

Weight: 15%